ShopSmart Retail Ltd – Business Report

AnalystLab Africa · Week 1 · Junior Data Analyst · Period analysed: January–December 2025

₦2.25B	16,529	₦135,933	4.8%
Revenue (completed orders)	Completed orders (of 50,000)	Average order value	Return rate

Revenue counts completed orders only, net of discount (discount treated as a percentage) and excluding shipping. Definitions and alternatives are in the workbook (Assumptions sheet).

Three key findings

- **Only one order in three is completed.** Of 50,000 orders, 16,529 were completed, 16,861 (33.7%) cancelled and 16,610 (33.2%) are still pending. Completed sales of ₦2.25B compare with ₦6.82B of orders placed.
- **Sales are broad-based, with no hero product, customer or month.** The top 10 customers add up to under 1% of revenue and the top product is 0.3%. Monthly revenue stays between ₦171M and ₦201M (peak December). Beauty leads categories (23.3% of revenue) only because it has the widest range (119 products); Electronics earns the most per product (₦4.63M) and has the best catalogue margin (30.1%) but the highest return rate (5.3%).
- **Store and regional gaps are small and mostly reflect store counts.** Stores range from ₦81M (STR002 Kano) to ₦102M (STR003 Lagos). South leads regions (32% of revenue) because it has 8 stores; revenue per store is ₦87.6M–₦91.3M in every region.

Three business recommendations

- **Fix order completion first.** Find out why a third of orders cancel and another third stay pending (payment failures, stock-outs, fulfilment delays). Set a time limit for pending orders and track completion rate weekly.
- **Invest in Electronics, protect Beauty.** Add Electronics lines and promotions where margin and revenue per product are strongest, with supplier and packaging checks to bring returns below 4.5%. Keep Beauty as the volume driver and review the weakest products for delisting (the lowest, Beauty Item 264, sells ₦1.5M against ₦7.4M for the best).
- **Clean the master data and restock.** Adopt one revenue definition, give each store a unique name and a consistent region, and validate returns. Replenish the 21 stock lines at or below reorder level, starting with STR006 Kaduna and STR014 Port Harcourt (3 each).

Risk identified

Reported revenue can be overstated by about 11%. The source Line_Total subtracts the discount as a flat naira amount (5–20) instead of a percentage; on completed orders that overstates revenue by about ₦250M, and by ₦756M across all orders. Separately, 67% of return records sit on cancelled or pending orders and 1,252 are dated before the order, so the return rate should be treated as indicative until the logging is fixed.

Opportunity identified

Converting more orders into completed sales. Each extra percentage point of completion is about 500 orders, or roughly ₦68M (+3.0% revenue) at the current average order value. Moving 10 points of cancelled or pending orders to completed would add about ₦680M.

Note: all 50,000 orders fall in 2025, and category, store and monthly differences are modest, so treat rankings as directional. Figures come from ShopSmart_Analysis.xlsx.